

Organising: Definition

Organising is the process of defining and grouping activities, establishing authority relationships, and effectively deploying resources to achieve goals. It initiates the implementation of plans by clarifying jobs and working relationships.

Process of Organising

Organising involves four key steps:

- 1. Identification and Division of Work: Work is divided into manageable activities to avoid duplication and share the workload among employees.
- 2. Departmentalisation: Similar activities are grouped together (e.g., marketing, finance) to facilitate specialization. This grouping process is called departmentalisation.
- 3. Assignment of Duties: Tasks are assigned to different job positions based on their nature.
- 4. Establishing Authority and Reporting Relationships: Each individual must know who they report to and from whom they receive orders, ensuring clarity in working relationships.

Importance of Organising

Organising offers several benefits:

- Benefits of Specialisation: Repetitive performance of tasks leads to specialization.
- Clarity in Working Relationships: Establishes who reports to whom.
- Optimum Utilisation of Resources: Provides clear job descriptions, avoiding confusion and duplication.
- Adaptation to Change: Organisational structure can be modified to accommodate environmental changes.
- Effective Administration: Clear job descriptions prevent confusion and duplication.
- Development of Personnel: Effective delegation allows managers to reduce workload and explore growth areas.

Organisation Structure

The framework within which managerial and operating tasks are performed. There are two main types: Functional and Divisional Structure.

Functional Structure

- Definition: Grouping similar functions (e.g., HR, Marketing, R&D, Purchasing).
- Advantages (Le Le MAP):
 - 1. Leads to occupational specialisation.
 - 2. Promotes control and coordination within a department.
 - 3. Increases managerial and operational efficiency.
 - 4. Leads to minimal duplication.
 - 5. Makes training of employees easier.
 - 6. Attention on every function.
- Limitations (Less Conflict Leads to Problems):
 - 1. Less emphasis on overall enterprise objectives.
 - 2. Problems in coordination.
 - 3. Conflict of interests.
 - 4. Leads to inflexibility.
- Suitability: Most suitable for large organisations with diversified activities requiring a high degree of specialisation.

Divisional Structure

- Definition: Grouping activities based on different products (e.g., cosmetics, garments, footwear).
- Advantages (Pro Pro Fa Fa Fi):
 - 1. Product specialisation.
 - 2. Fixation of responsibility (divisional heads are accountable for profits).
 - 3. Promotes flexibility and initiative.
 - 4. Facilitates expansion and growth.
 - 5. Faster decision making.
- Limitations (Ignore Duplicate Conflict):
 - 1. Conflict among different divisions.
 - 2. Duplication of activities.
 - 3. Ignores organisational interests.
- Suitability: Suitable for businesses with a large variety of products, using different productive resources, and growing organisations.

Distinction Between Functional and Divisional Structure

Basis of Distinction	Functional Structure	Divisional Structure
Formation	Based on functions	Based on product line
Specialisation	Functional specialisation	Product specialisation
Responsibility	Difficult to fix	Easy to fix
Managerial Dev.	Difficult	Easier
Cost	Economical	Costly
Coordination	Difficult for multi-product	Easy for a specific product

Formal Organisation

- Definition: Structure designed by management to achieve tasks, with clear boundaries of authority and responsibility, and systematic coordination.
- Features:
 - 1. Job positions and reporting relationships are clearly stated.
 - 2. Operates according to set rules and procedures.
 - 3. Framework for coordinating activities of all departments.
 - 4. Deliberately created by top management.
 - 5. Focuses on work, not interpersonal relationships.
- Merits:
 - 1. Easier to fix responsibility.

- 2. No overlapping of work.
- 3. Unity of command maintained.
- 4. Effective accomplishment of goals.
- 5. Provides stability and predictable employee behavior.
- Limitations:
 - 1. Rules can cause unnecessary delays.
 - 2. Employees have limited creative thinking.
 - 3. Difficult to understand human relationships due to emphasis on structure.

Informal Organisation

- Definition: Social and friendly relations developed among individuals working in a formal structure, created automatically for psychological satisfaction.
- Features:
 - 1. Originates from within formal organisation due to personal interaction.
 - 2. Behaviour standards evolve from group norms.
 - 3. Independent communication channels.
 - 4. Emerges spontaneously, not deliberately created.
 - 5. No definite structure; based on social relationships.
- Merits:
 - 1. Faster spread of information and quick feedback.
 - 2. Fulfills social needs and provides a sense of belongingness.
 - 3. Compensates for inadequacies in formal organisation.
- Limitations:
 - 1. Can work against formal organisation interests and spread rumours.
 - 2. May oppose management policies and changes.
 - 3. May force members to follow harmful group norms.

Distinction Between Formal and Informal Organisation

Basis of Distinction	Formal Organisation	Informal Organisation
Meaning	Structure of authority relationships created by management	Network of social relationships among employees
Origin	Result of company rules and policies	Result of social interaction
Authority	By virtue of position in management	Out of personal qualities
Behaviour	Directed by rules	No set behaviour pattern
Flow of Comm.	Through scalar chain	Can take place in any direction
Nature	Rigid	Flexible
Leadership	Managers are leaders	Leaders may or may not be managers; chosen by group

Elements of Delegation

- Authority: The right of an individual to command subordinates and take action within their job scope.
- Responsibility: The obligation of a subordinate to properly perform assigned duties.
- Accountability: Delegation of authority empowers an employee, but the superior remains accountable for the outcome.

Authority, Responsibility, Accountability

Basis	Authority	Responsibility	Accountability
Meaning	Right to command and take action.	Obligation to perform assigned duty.	Answerable for the outcome.
Delegation	Can be delegated.	Cannot be entirely delegated.	Cannot be delegated at all.
Origin	Arises from formal position.	Arises from delegated authority.	Arises from responsibility.
Flow	Flows downward from superior to subordinate.	Flows upward from subordinate to superior.	Flows upward from subordinate to superior.

Importance of Delegation

- Effective Management: Managers gain time to focus on important matters.
- Employee Development: Employees get opportunities to utilise their talent.
- Motivation of Employees: Responsibility builds self-esteem and improves motivation.
- Facilitates Growth: Provides a ready workforce for leading positions in new ventures.
- Better Coordination: Helps avoid overlapping duties and duplication of effort.

Decentralisation

- Definition: Delegation of authority to all levels of management, distributing authority to the lowest level.
- Importance:
 - 1. Develops Initiative: Identifies executives with potential to be dynamic leaders.
 - 2. Develops Managerial Talent: Provides a chance to prove abilities and creates a talent reserve.
 - 3. Quick Decision Making: Decisions are made quickly at lower levels.
 - 4. Relief to Top Management: Frees up top management for important issues.
 - 5. Facilitates Growth: Employees gain autonomy, fostering growth.
 - 6. Better Control: Performance is evaluated at each level, making control easier.

Distinction Between Delegation and Decentralisation

Basis of Distinction	Delegation	Decentralisation
Nature	Compulsory act (no individual can perform all tasks).	Optional policy decision (at discretion of top management).
Freedom of Action	More control by superiors, less freedom.	Less control over executives, greater freedom.
Status	A process followed to share tasks.	Result of policy decision of top management.
Scope	Narrow (limited to superior and immediate subordinate).	Wide (implies extension of delegation to the lowest level).
Purpose	To reduce workload of the superior.	To increase the role of subordinates or give more autonomy.